

FLAGSHIP ANNUAL REPORT

The State of Arts Funding 2026

A full report from Bitcoin for the Arts Research. Every figure is traceable to a primary source listed in the References block at the end of this document. The institutional byline is "Bitcoin for the Arts Research" — there are no personal bylines on BFTA reports.

Byline

Bitcoin for the Arts Research

Last reviewed

2026-05-10

Status

Version 1.0

License

Creative Commons Attribution 4.0 (CC BY 4.0)

Citation

Bitcoin for the Arts Research. (2026). *The State of Arts Funding 2026*. Bitcoin For The Arts, Inc.
<https://bitcoinforthearts.org/research/state-of-arts-funding-2026>

Executive summary

The U.S. arts economy entered 2026 with a paradox at its center. On the one hand, the most recent national satellite account shows arts and cultural economic activity growing faster than the broader economy: real arts and cultural value added rose 6.6 percent in 2023, compared with 2.9 percent real GDP growth overall. The sector accounted for \$1.17 trillion, or 4.2 percent of U.S. GDP, and supported 5.4 million jobs.^[1]

On the other hand, the funding rails below that economic footprint are tightening. NASAA's FY2026 preview projects total state and jurisdictional arts agency appropriations of \$650.2 million, a \$54 million decline from the prior year and a 7.7 percent decrease.^[3] Federal arts support is also politically exposed: the President's FY2026 budget proposal recommended eliminating the National Endowment for the Arts, while the NEA separately cancelled the FY2026 Challenge America opportunity and revised Grants for Arts Projects eligibility.^{[5][6]}

The result is not a simple story of decline. Private giving to arts, culture, and humanities recovered strongly in 2024, reaching \$25.13 billion according to Giving USA, up 9.5 percent in current dollars and 6.4 percent after inflation.^[8] But private growth does not automatically replace public cuts. Philanthropy is unevenly distributed, relationship dependent, and generally easier for established institutions to access than small or emerging artist-led organizations.

The arts are economically large, publicly vulnerable, and unevenly backstopped. That combination is the funding problem BFTA was built to address.

6.6%

ARTS GDP GROWTH

Real arts and cultural economic activity growth in 2023, compared with 2.9% real GDP growth for the broader U.S. economy. ^[1]

\$1.17T

GDP CONTRIBUTION

Arts and cultural economic activity accounted for 4.2% of U.S. GDP in 2023. ^[1]

5.4M

ARTS EMPLOYMENT

Arts and cultural employment nationwide in 2023. ^[1]

-7.7%

STATE ARTS FUNDING

Projected FY2026 decline in total state and jurisdictional arts agency appropriations. ^[3]

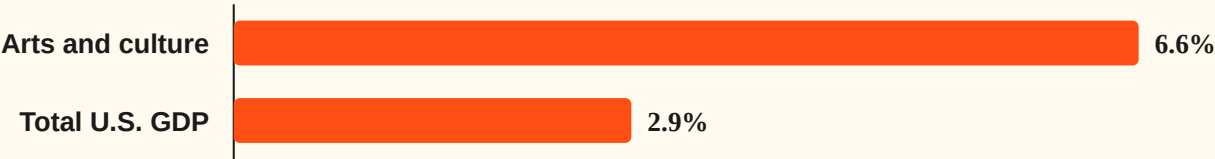
The economic baseline

The strongest argument for arts funding begins with scale. The BEA Arts and Cultural Production Satellite Account measures arts and cultural production across 35 industry groups, including commercial and nonprofit activity. Its 2023 release shows that arts and culture were not a marginal economic category: \$1.17 trillion in value added, 4.2 percent of GDP, and 5.4 million jobs.^[1]

The growth rate matters because it contradicts a common assumption embedded in many public budget debates: that arts spending is a luxury add-on to the "real" economy. In 2023, arts and cultural economic activity grew at more than twice the rate of the broader economy in real terms.^[1] The NEA's summary of the same data emphasizes both the recovery and the unevenness: many industries exceeded 2019 value added levels by 2023, but performing arts organizations remained 12.3 percent below their 2019 value-added level despite strong 2022-2023 growth.^[2]

Arts sector growth compared with the broader U.S. economy

Real 2023 growth: arts and cultural economic activity grew more than twice as fast as real GDP.



Source: U.S. Bureau of Economic Analysis, Arts and Cultural Production Satellite Account, U.S. and States, 2023.

WHY THIS MATTERS

A sector can be economically large and still financially fragile. Aggregate GDP contribution does not mean small venues, working artists, or community arts organizations have reserves, bargaining power, or reliable access to capital.

Public funding at risk

State arts agencies are one of the clearest early indicators of public arts funding pressure. NASAA's FY2026 preview projects \$650.2 million in total appropriations across state and jurisdictional arts agencies, down \$54 million from the prior year. The preview describes the information as preliminary, collected before the start of most states' fiscal years, but it is still a meaningful warning signal: total appropriations are projected to decline 7.7 percent.^[3]

State arts agency appropriations are projected to decline in FY2026

NASAA's preliminary FY2026 preview shows total state and jurisdictional arts agency appropriations falling from roughly \$704.2M to \$650.2M.



Source: National Assembly of State Arts Agencies, FY2026 legislative appropriations preview.

Federal support faces a different kind of risk. NASAA reported that the President's FY2026 budget proposal recommended eliminating the NEA, while also noting that Congress, not the executive branch, sets final funding levels.^[5] That distinction matters: a presidential budget request is not a final appropriation. But it is a policy signal, and it affects how state agencies, local governments, nonprofits, and donors plan.

Separately, the NEA announced FY2026 grant-opportunity changes: Challenge America was cancelled for FY2026; the February Grants for Arts Projects deadline was cancelled; updated deadlines moved to March and July 2025; and applicants were required to show a five-year history of arts programming.^[6] These are administrative changes, not the same thing as congressional defunding. But for small and newer organizations, changes in eligibility and deadlines can function as access restrictions even when a funding program formally remains open.

Municipal stress and the ARPA cliff

The American Rescue Plan Act's State and Local Fiscal Recovery Funds program delivered \$350 billion to state, territorial, local, and Tribal governments.^[4] Treasury guidance places the program in the category of pandemic recovery funds designed to maintain services, replace lost public-sector revenue, and support recovery investments. The practical arts-funding issue is timing: temporary recovery funds helped local governments support programs that may now have to survive on ordinary revenue.

San Diego illustrates the municipal pressure pattern. KPBS reported in April 2026 that the mayor's proposed budget would reduce arts funding from \$13.8 million to \$2 million, an \$11.8 million cut and roughly an 85 percent reduction.^[9] The details are local, but the structure is national: when cities face budget gaps, discretionary categories such as arts and culture have fewer legal or political protections than core service obligations.

WHY THIS MATTERS

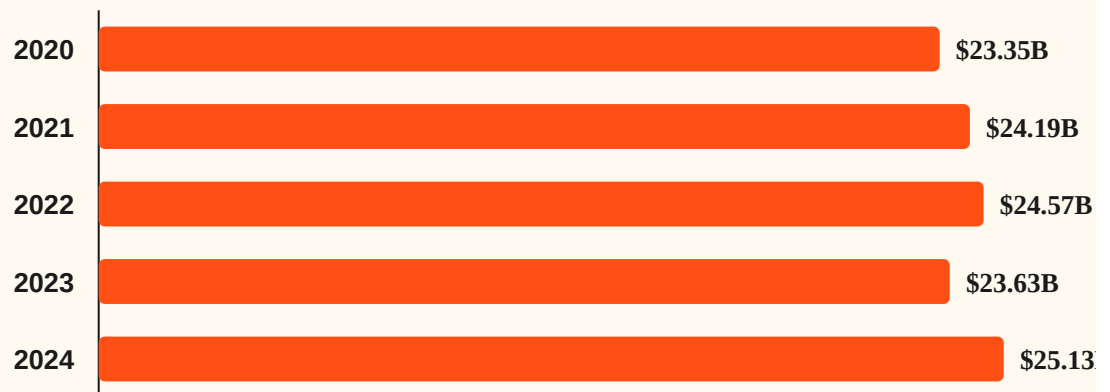
The ARPA cliff is not only about one federal program ending. It is about the exposure created when temporary emergency money is used to support cultural capacity that ordinary municipal budgets were never built to sustain.

The private-market response

The private funding picture is stronger than the public-funding picture in the latest available national data. Giving USA 2025 reports that total U.S. charitable giving reached \$592.50 billion in 2024. Giving to arts, culture, and humanities reached \$25.13 billion, up 9.5 percent in current dollars and 6.4 percent after inflation.^[8]

Private giving to arts, culture, and humanities recovered in 2024

Giving USA reported inflation-adjusted giving to arts, culture, and humanities at \$25.13B in 2024, an all-time high for the subsector.



Source: Giving USA 2025, researched by Indiana University Lilly Family School of Philanthropy.

This is encouraging, but it should not be misread as a full substitute for public funding. Giving USA also notes that individuals remain the largest source of charitable giving, while foundation grantmaking surpassed \$100 billion for the third straight year.^[8] Those facts imply opportunity for arts organizations, but they also imply competition. Organizations with established donor networks, major-gift capacity, and foundation relationships are better positioned to convert broad philanthropic growth into actual operating dollars.

The nonprofit arts sector also creates local economic spillovers that funders often overlook. Americans for the Arts describes Arts & Economic Prosperity 6 as covering 373 regions across all 50 states and Puerto Rico, measuring economic and social impact across rural, suburban, and large urban communities.^[7] This supports the case that arts funding is not merely cultural spending; it is part of visitor economies, local identity, and community infrastructure.

Who gets hurt first

The first organizations harmed by funding volatility are usually not the institutions with large boards, endowments, and development teams. They are smaller organizations, artist-led projects, newer nonprofits, fiscally sponsored groups, and community programs whose budgets depend on one or two grants. When a grant deadline moves, eligibility changes, a city line item disappears, or a pass-through appropriation is cut, these groups have fewer reserves and less staff capacity to absorb the shock.

That is why the distinction between aggregate sector strength and distributional fragility is central to this report. BEA and NEA data show a trillion-dollar arts economy.^{[1][2]} NASAA data show state funding pressure.^[3] City reporting shows local grant programs can be proposed for deep cuts when municipal budgets tighten.^[9] Giving USA shows private giving growth.^[8] Taken together, the data describe a sector with real economic power but uneven access to durable capital.

BFTA's analytical conclusion

The conclusion is not that public funding should disappear, or that philanthropy alone can solve arts funding. The evidence points in the opposite direction: public support, private giving, earned revenue, and local cultural policy all remain necessary. The weakness is concentration. An artist or organization dependent on one funding rail is exposed to the failure mode of that rail.

Bitcoin for the Arts argues for an additional rail: a non-state-dependent funding mechanism that can pay artists directly, settle quickly, and preserve a portion of donated value in a long-term Bitcoin reserve. That is an analytical conclusion drawn from the funding landscape above, not a claim that Bitcoin replaces public investment. The more accurate claim is narrower: if the arts are economically important but funding is politically and institutionally fragile, then the sector needs at least some capital that fails differently.

The 2026 arts funding problem is not lack of cultural value. It is a mismatch between the value artists create and the durability of the systems that fund them.

References and methodology

This v1 report uses public, citable sources available as of May 10, 2026. National economic figures come from the BEA Arts and Cultural Production Satellite Account and the NEA's accompanying summary. State appropriations context comes from NASAA's FY2026 preview and related federal-policy commentary. ARPA context comes from

Treasury SLFRF materials. Private giving figures come from Giving USA 2025, researched by the Indiana University Lilly Family School of Philanthropy. Local stress examples use reported municipal budget coverage.

BFTA does not treat preliminary projections as final appropriations. Where data are preliminary, this report says so. Where a budget proposal is not binding, this report says so. Where national data are lagged, this report uses the latest available national release rather than inventing 2026 estimates.

References

- [1] U.S. Bureau of Economic Analysis, Arts and Cultural Production Satellite Account, U.S. and States, 2023. <https://www.bea.gov/news/2025/arts-and-cultural-production-satellite-account-us-and-states-2023>
- [2] National Endowment for the Arts, Arts and Cultural Industries Grew at Twice the Rate of the U.S. Economy. <https://www.arts.gov/news/press-releases/2025/arts-and-cultural-industries-grew-twice-rate-us-economy-adding-12-trillion>
- [3] National Assembly of State Arts Agencies, FY2026 legislative appropriations preview. <https://nasaa-arts.org/communication/state-arts-agency-fy2026-legislative-appropriations-preview/>
- [4] U.S. Department of the Treasury, State and Local Fiscal Recovery Funds. <https://home.treasury.gov/policy-issues/coronavirus/assistance-for-state-local-and-tribal-governments/state-and-local-fiscal-recovery-funds>
- [5] National Assembly of State Arts Agencies, President's FY2026 Budget Cuts NEA. <https://nasaa-arts.org/newsletter/2025-nasaa-notes-issues/may-2025-nasaa-notes/presidents-fy2026-budget-cuts-nea/>
- [6] National Endowment for the Arts, Updates on FY 2026 Grant Opportunities. <https://www.arts.gov/news/press-releases/2025/updates-national-endowment-arts-fy-2026-grant-opportunities>
- [7] Americans for the Arts, Arts & Economic Prosperity 6 Study Findings. <https://aep6.americansforthearts.org/study-findings>
- [8] Giving USA 2025, researched by Indiana University Lilly Family School of Philanthropy. https://philanthropy.iupui.edu/news-events/news/_news/2025/giving-usa-2025.html
- [9] KPBS, San Diego Mayor's proposed budget slashes arts and culture funding. <https://www.kpbs.org/news/arts-culture/2026/04/20/san-diego-mayors-proposed-budget-slashes-arts-and-culture-funding>

About this report. This PDF is generated from `data/reports/state-of-arts-funding-2026.json` and `reports/state-of-arts-funding-2026/report.md` in the public research repository at github.com/Bitcoin-For-The-Arts/Research using the build script `scripts/build-pdfs.mjs`. Every figure in this report is derived from the same JSON dataset and the primary sources listed above. Corrections and source updates may be submitted at github.com/Bitcoin-For-The-Arts/Research/issues or by emailing info@bitcoinforthearts.org.

Bitcoin For The Arts, Inc. is a 501(c)(3) public charity (EIN 41-2642260) headquartered in New York, NY, with a global research mandate. This document is licensed under Creative Commons Attribution 4.0 International (CC BY 4.0).